INTANGIBLE ASSET VALUATION AT LIBERTY MEDIA AND FORMULA ONE

1. Where does F1 Group's revenue come from? What is Liberty Media's plan for the acquisition of F1?

F1 was owned by the Formula One Group (the Group), which held the exclusive commercial rights to the F1 World Championship (the Championship). The Group consisted of multiple related companies responsible for the promoting and monetizing the sport.

Primary Revenue Streams:

- **Race Promotion (Hosting Races)**: The owners of each racetrack (also known as a circuit) were granted the right to host and promote the Grand Prix race for that track. In 2015, the average annual fee was $31.5 million, typically under 10-year contracts with 5% annual escalators, resulting in an average total cost nearly $400 million over ten years. Race organizers were also responsible for the operational costs of running the race, such as staffing and building grandstands, averaging $58 million annually in 2015, or nearly $1 billion over ten years.
- **Broadcasting**: F1 also generated revenue by granting exclusive broadcasting rights to certain networks like Sky Sports, ESPN, and Channel 4 under multi-year contracts.
- **Advertising and Sponsorship**: It involves earning revenue from commercial partnerships and sponsorship agreements.

In each case, revenue was earned in exchange for granting or licensing rights to third parties.

According to financial summaries, F1's total revenue was $2,136 million in 2021, soaring significantly high from $1,145 million in 2020 (likely impacted by the pandemic) and $2,022 million in 2019. The Primary F1 revenue component was $1,850 million in 2021 and Other F1 revenue was $286 million.

Liberty Media's Plan for the Acquisition of F1

Liberty Media had numerous ownership interests in businesses within the media, communications, and entertainment industries. Two reporting segments represented the

company's most significant investments: F1 and Sirius XM Holdings Inc. Its strategy was to invest in media and entertainment companies with sustainable business models to generate superior returns over the long term.

In early 2017, Liberty Media acquired the Group's private parent company, Delta Topco Limited (Delta). The transaction price represented an enterprise value and equity value of $8 billion and $4.4 billion, respectively, with a total consideration of $3.05 billion in cash and $1.6 billion in newly issued Liberty Media shares, totalling $4.65 billion.

Considering numerous growth opportunities within F1, Liberty Media's management team's long-term strategy for enhancing the business included:

- **Building new revenue:** Generating revenues and promotion opportunities particularly in the digital sector.
- **Expanding geographically:** Entering into new markets, particularly targeting US audiences.
- **Maximizing Traditional Revenue Streams**: Continuing to optimize existing revenues.
- **Evolving the business model:** Building partnership with involving teams, the FIA, and F1's commercial partners such as broadcasters and advertisers.
- **Netflix Inc.'s Formula 1: Drive to Survive series:** One of the company's most high-profile efforts within this strategy, which provided viewers with an in-depth, behind-the-scenes look into the sport and its teams. The series was a part of the management team's focus on growing its US audience; over 70 per cent of US viewers reported that the show had increased their interest in the sport.
- **Promoting New Grand Prix Events:** It would act as the promoter of the new Las Vegas Grand Prix, slated to begin in 2023. Rather than receiving race promotion revenue from a third party in exchange for granting the right to host the Grand Prix, Liberty Media would act as the promoter and operator of the race with the intention of creating a spectacle truly worthy of a global audience.
- **Preserving Heritage**: Balanced growth initiatives while maintaining F1's iconic brands and traditions.

2. What does the FIA do and why is the 100-year agreement valuable to F1?

The FIA was the world's largest governing body for motorsport.

Functions of FIA:

- **Governing and Sanctioning Authority:** FIA is governing authority and sanctioned the Championship. It also governed and organized many other global car racing events and championships, including the FIA World Endurance Championship.
- **Regulatory Authority:** FIA manages and enforces sporting rules, establish budgets and finances, provide technical regulations (e.g., car design), and uphold the integrity of the sport.
- **Technical Standards**: F1 technical regulations were extensive and applied to nearly every aspect of the car from the engine to aerodynamic components, minimum weight requirements, and exclusive tire suppliers. The FIA's decisions on technical regulations, such as the switch to V6 hybrid turbo engines in 2014, aim to align with social trends towards eco-friendly vehicles. This also incentivizes manufacturers, like Mercedes-Benz and Ferrari, to invest in car design, as innovations leads to road vehicle technology.
- **Financial Regulations:** Concorde Agreement-a contract established in 1981 between the Group, the FIA, and each participating team. The agreement protects the interests of the sport's various stakeholders by dictating how broadcasting revenues were to be shared and how prize money was to be distributed between teams. It outlined other terms, such as a $200 million fee for new teams to join, which protects existing teams' investments by preventing prize money from being spread too thinly and introduced a budget cap (e.g., $145 million annual spending limit per team in 2021) to enhance competitiveness by closing the financial gap between teams. It also emphasized the preservation of iconic F1 brands, with Ferrari, for example, benefiting from a right to veto technical regulations and receiving a "heritage bonus" from prize revenue due to its historic legacy.
- **Enforcement and Penalties:** The FIA is responsible for enforcing regulations through routine inspections at each race, testing fundamental parameters like car weight, power unit usage, and oil consumption. Penalties for infringements vary in severity, from grid penalties for minor infractions to disqualification of drivers and teams for more serious breaches.

Value of 100-Agreement to F1:

The 100-year FIA Agreement, signed in 2001 for $313.6 million in Liberty Media's financial statements, is considered highly valuable to F1 for several reasons:

- **Commercial Rights:** In 2001, the Group signed a 100-year agreement with the FIA to obtain the commercial rights to the sport for 100 years beginning in 2011, the end of Ecclestone's fourteen-year contract. In exchange for these rights, the Group paid a one-time fee of $313.6 million in addition to future annual regulatory payments ($26.8 million paid in 2016), which is relatively less.

- **Foundation of F1's Business Model:** The primary revenue streams of F1-fees from race promotion (hosting races), broadcasting, and advertising and sponsorship—are all earned in exchange for granting or licensing rights to third parties. The 100-year agreement is the fundamental asset that permits the F1 Group to monetize the sport.

- **Significant Intangible Asset Valuation:** When Liberty Media acquired F1 in early 2017, the FIA Agreement was reported as a primary driver of a significant increase in Liberty Media's intangible assets. It was reported at $3.5 billion (net of amortization) in 2017, representing 35% of F1's purchase price. This valuation stood in contrast to carrying value of $301.8 million as a prepaid expense on Delta's balance sheet at the end of 2016. Liberty Media's recognition of the agreement at $3.6 billion by the end of first quarter of 2017 underscores its immense value as a long-term revenue-generating asset.

- **Stability and Control:** The 100-year agreement ensure long-term stability and control over the commercial aspects of the sport, which is essential for future planning, investment, and growth. The F1 Group also gains the right to appoint a representative to the FIA's F1 Commission and World Motor Sport Council, providing a direct voice in the governance of the sport.

- **Protection of Rights during Acquisition:** The agreement includes clauses allowing the FIA to terminate the license upon a change of control of Delta unless the transaction was previously approved by the FIA. F1 obtained the FIA's approval for its acquisition by Liberty Media under the 100-year agreement., thereby securing the continuity of these essential commercial rights and mitigating a significant risk to the acquisition's value.

3. **How did Delta Topco Limited account for the FIA agreement? How does Liberty Media account for it? Do you agree with Liberty Media's initial recognition of the value of the agreement and its subsequent measurement?**

- **How Delta Topco Limited Accounted for the FIA Agreement:**

Delta Topco Limited and Liberty Media accounted for the FIA agreement in different ways, primarily due to the nature of the transaction (initial licensing vs. acquisition) and the application of accounting principles during the acquisition. Prior to being acquired by Liberty Media, Delta recognized the payment of the 100-year agreement as a non-current prepaid expense.

- **Accounting Standards**: Delta's financial statements were prepared in accordance with International Financial Reporting Standards (IFRS) and were subsequently adjusted to US Generally Accepted Accounting Principles (US GAAP) to align with Liberty Media's financial statements.
- **Initial Payment**: Delta paid a significant one-time fee of $313.6 million in 2001 to the FIA to get the exclusive commercial rights to the F1 World Championship for 100 years, effective from January 1, 2011, until December 31, 2110.
- **Amortization**: For prepaid expense, Delta recognized an annual amortization of approximately $3 million. The Championship rights prepayment amortization was reported at $3.21 million annually from 2014 to 2016.
- **Carrying Value**: As of December 31, 2016(before the acquisition), the carrying value of this prepaid expense was $301.8 million.

- **How Liberty Media Accounts for It:**

In early 2017, Liberty Media acquired the Group's private parent company, Delta Topco Limited, which was owned by various investment companies, F1 directors, and Ecclestone. Upon acquisition, Liberty Media re-considered the FIA Agreement as a definite-life intangible asset at a substantially high value, as part of the purchase price allocation.

- **Initial Recognition Value**: By the end of the first quarter of 2017, Liberty Media was valuing the 100-year agreement at $3.6 billion. In its 2017 annual report, it was reported at $3.5 billion (net of amortization).
- **Impact on Balance Sheet**: This recognition primary escalated Liberty Media's reported intangible assets, which soared from US$1.1 billion to $6.1 billion year-on-year from

2016 to 2017. At the time of recognition, this amount represented 35 percent of F1's purchase price. By December 31, 2017, the FIA Agreement constituted $3.63 billion of the $5.484 billion allocated to intangible assets subject to amortization attributed to the F1 business.

- **Useful Life and Amortization**: The remaining weighted-average useful life for the definite-life intangible assets attributed to the F1 business was around thirty-five years. The company's consolidated amortization expenses increased significantly from $168 million in 2016 to $594 million in 2017, reflecting the higher valuation of these assets, including the FIA Agreement.

- **My opinion on Liberty Media's Initial Recognition of value of agreement and Subsequent Measurement:**

According to my assessment, I disagree with Liberty Media's initial recognition of the value of the agreement and its subsequent measurement as there is a considerable disparity. While some increase is justified due to acquisition accounting requirements and F1's improved prospects, the increase in valuation seems exaggerated.

- **Valuation Discrepancy**: The contrast between Delta's carrying value of $301.8 million and Liberty Media's valuation of $3.6 billion (ten times higher) for an agreement that had been signed before Liberty Media's involvement is questionable.
- **Lack of Justification**: The Liberty Media provided little to no insight into how it justified recognizing the 100-year agreement at such a high dollar value. Leo Castillo found it difficult to reconcile the initial payment for the rights with the much higher value reported on the balance sheet.
- **Questions for Investors**: The case poses direct questions about the reliability of inflated values for intangible assets, including the FIA agreement, and their potential impact on Liberty Media's earnings and the future stock value of FWONK.
- **Accounting Standard Implications**: While US GAAP mandates that purchased identifiable intangible assets acquired in a business combination be recognized at their fair value at the end of each reporting period, the justification for arriving at this high fair value, is the point of debate. The rationale behind such a drastic increase in valuation was not transparently communicated by Liberty Media.

4. **How should investors use the information about Fl's intangible assets to make investment decisions?**

Investors should use information about F1's intangible assets, particularly the FIA Agreement, as a critical component of their investment analysis. They must do so with a high degree of scrutiny due to a significant valuation discrepancy of Liberty Media.

Investors can use following ways:

- **Key Intangible Assets and Their Reported Values**

Liberty Media's balance sheet for the F1 business shows substantial definite-life intangible assets, basically driven by:

- **FIA Agreement**: Valued by Liberty Media at $3.6 billion in 2017 (net of amortization). This agreement permits F1 the exclusive commercial rights to the F1 World Championship and its trademarks for 100 years, effective from 2011 to 2110. These rights are the foundation of F1's primary revenue streams: race promotion fees, broadcasting rights, and advertising and sponsorship.
- **Customer Relationships**: Valued by Liberty Media at $1.9 billion in 2017. Delta had also reported customer and supplier relationships valued at $146.2 million in 2016, which were in relation to agreements pertaining to racetrack rights and trademark usage.

These two assets alone accounted for $5.484 billion of the acquisition price allocated to intangible assets subject to amortization in 2017. This recognition contributed to Liberty Media's reported intangible assets soaring from US$1.1 billion to $6.1 billion year-on-year.

- **Scrutinizing the Valuation Discrepancy**

Investors must be aware of the drastic increase in the reported value of the FIA Agreement following Liberty Media's acquisition:

- Prior to acquisition, Delta Topco Limited recognized the 100-year FIA Agreement as a non-current prepaid expense with a carrying value of $301.8 million as of December 31, 2016.
- By the end of the first quarter of 2017, Liberty Media valued the same agreement at $3.6 billion. This represents a nearly ten-fold increase from its prior carrying value and its original cost of $313.6 million paid in 2001.

- **Actions to be taken by Investors:**

- **Question the Reliability of Intangible Asset Valuations**: Investors should view these inflated values sceptically.
- **Understand the Impact on Earnings and Profitability**:

  Amortization Expense: The company's consolidated amortization expenses increased significantly from $168 million to $594 million from 2016 to 2017. This non-cash expense directly reduces reported net income and earnings per share.

  Adjusted EBITDA: To assess the operational profitability, investors should focus on Adjusted EBITDA, which excludes amortization (and depreciation, interest, and taxes) and can provide a clear view of the F1 business's cash-generating ability before the impact of purchase price allocation adjustments.
- **Focus on Cash Flow Generation:** The value of F1 lies in its ability to generate cash. Investors should prioritize analysis of cash from operations and free cash flow. The intangible assets are valuable only if they enable the generation of cash flows. In 2021, F1 generated $481 million in cash from operations and $464 million in free cash flow. The long-term exclusive rights granted by the FIA Agreement are fundamental to securing these cash flows.
- **Evaluate the Sustainability and Growth Potential of the Underlying Business:**

  Strategic Initiatives: Investors should assess Liberty Media's strategies for maximizing existing revenue streams and building new opportunities (e.g., digital, geographic expansion, Netflix-Drive to Survive series, promoting the Las Vegas Grand Prix).

  Market Position and Brand Strength: The deep heritage of F1, including iconic racetracks and teams like Ferrari, contributes to its brand strength and pricing power, which are linked to the value of its customer relationships and the ability to monetize the sport.

  Risks and Competition: Consider the period till which F1 can maintain its premier status and exclusive appeal, especially with potential competition or changes in motorsport popularity.
- **Assess Management's Long-Term Vision**: Liberty Media's strategy is to invest in media and entertainment companies with sustainable business models to generate superior returns over the long term. The 100-year FIA Agreement aligns with this long-term view, but investors need to study how effectively management will leverage these assets over such an extended period.

5. Reference

Sanchez, A. (2023). *INTANGIBLE ASSET VALUATION AT LIBERTY MEDIA AND FORMULA ONE*. www.iveycases.com.